RR KABEL LIMITED

NSE: RRKABEL | Wires, Cables & FMEG

Initiating Coverage | 18 December 2025

BUY

Target Price: Rs. 1,750

CMP: Rs. 1,435 | Upside: +22%

Market Cap	52W High/Low	FY25 Revenue	FY25 EBITDA %	FY26-29E PAT CAGR	Net Debt/Equity
Rs. 16,227 Cr	**1,524 / 854**	**Rs. 76,182 Mn**	**6.37%**	**34%**	**Net Cash**

Company Profile

RR Kabel Limited is India's third-largest wires and cables manufacturer, incorporated in 2003. The company operates across two segments: Wires & Cables (W&C), which constitutes the core business encompassing residential wiring, industrial cables, power cables, and specialty products including Extra High Voltage and solar PV cables; and Fast-Moving Electrical Goods (FMEG), a diversified consumer electrical vertical covering fans, lighting, switches, switchgear, and water heaters. W&C revenues account for the substantial majority of consolidated turnover, while FMEG remains in an investment phase targeting category scale-up.

RR Kabel maintains a differentiated export franchise, with international revenues contributing approximately 26–28% of W&C segment sales across a presence in 74 countries. The company competes in both B2B (project and institutional) and B2C (retail distribution) channels, supported by a pan-India manufacturing and distribution footprint. Project RISE, a Rs. 1,200 Cr capital expenditure programme spanning FY26–FY28, is expected to expand W&C installed capacity approximately 1.7x, with dedicated capacity additions in higher-margin EHV power cables and renewable energy cables.

Investment Case

We initiate coverage on RR Kabel Limited with a BUY rating and a 12-month target price of Rs. 1,750, implying 22% upside from the current market price of Rs. 1,435. Our investment thesis is underpinned by four key drivers:

- Project RISE (Rs. 1,200 Cr capex, FY26–FY28): RR Kabel's Rs. 1,200 Cr capex program (FY26–FY28) will expand W&C installed capacity 1.7x, with focused additions in Extra High Voltage (EHV) power cables and solar PV cables — both structurally higher-margin product categories. Management has guided for W&C revenue CAGR of 18%, FMEG CAGR of 25%, and consolidated EBITDA scaling 2.5x by FY28. Successful execution unlocks a step-change in operating leverage that is not yet reflected in consensus estimates.
- Structural growth tailwinds: India's Rs. 111 lakh crore National Infrastructure Pipeline (NIP), the 500 GW renewable capacity target by 2030, and the PMAY urban housing program collectively represent multi-year, policy-backed demand drivers for wires, cables, and electrical products. The domestic W&C industry is projected to grow at 14–16% CAGR through FY28, providing a rising tide for market participants with sufficient capacity to capitalize. RR Kabel is among the best-positioned mid-cap names to capture incremental project and retail volumes.
- Strong export franchise: Exports represent 26–28% of W&C revenues with a presence in 74 countries. Export revenues are growing 16–18% YoY as Indian manufacturers gain share over Chinese peers.
- Clean balance sheet: RR Kabel entered Project RISE from a position of financial strength: net cash of Rs. 2,220 Mn, D/E of 0.10x in FY25 (declining to a projected 0.03x by FY29), and operating cash flow of Rs. 4,923 Mn in FY25. The capex program is expected to be entirely self-funded through internal accruals, eliminating balance sheet risk as a concern. Strong free cash flow generation post-FY27 will further accelerate deleveraging and support progressive dividend/capital return optionality.

Recent Performance — Q2 FY26 Highlights

The Q2 FY26 results constituted a material inflection point, delivering the highest quarterly EBITDA margin in the company's recent history and validating both the revenue growth and margin recovery pillars of our investment thesis.

Metric	Q2 FY25A	Q2 FY26A	YoY Change
Revenue	18,102	21,638	+19.5% YoY
EBITDA	725	1,753	+142% YoY
EBITDA Margin (%)	4.0%	8.1%	+410 bps
PAT	509	1,163	+128% YoY
EPS (Rs)	4.50	10.28	+128% YoY
Export Mix (% of W&C Rev.)	24%	27%	+300 bps

The 410 bps YoY margin expansion to 8.1% in Q2 FY26 is particularly significant — it demonstrates that the adverse EBITDA margin compression seen in FY25 (6.4%) was cyclical in nature, not structural, consistent with our FY27–FY29E margin recovery assumptions. The simultaneous improvement in export mix (+300 bps YoY) and further D/E deleveraging to 0.08x reinforces conviction that Project RISE can be executed without balance sheet stress. We view this quarter as a strong positive read-through for our FY26E estimates and a thesis-confirming data point ahead of capacity scale-up.

Valuation

Valuing RR Kabel using a blended DCF (60% weight), EV/Sales (20%), and Price-to-Book (20%) methodology:

Method	Key Assumption	Per Share (Rs)	Weight
DCF (FY26–FY30E)	WACC 11.44% | TGR 7.50%	1,805	60%
EV/Sales (FY26E)	2.10x	1,489	20%
Price-to-Book (FY26E)	7.54x	1,638	20%
Blended Target Price	**—**	**Rs. 1,750**	**+22% Upside**

Peer Comparison

Company	Mkt Cap (Cr)	EBITDA	EV/Sales	EV/EBITDA	ROE
RR Kabel*	16,227	6.37%	2.1x	33.0x	14.5%
Polycab India	1,13,656	13.2%	5.1x	38.6x	26.1%
KEI Industries	37,652	10.2%	3.7x	36.6x	22.0%
Finolex Cables	11,650	9.7%	2.2x	22.7x	18.0%

Source: Bloomberg; Company Filings.

Key Risks

- Copper price volatility: A 5% rise in LME copper prices (currently ~USD 9,000–9,500/ton) can compress EBITDA margins by 80–100 bps if pass-through is delayed.
- FMEG competitive intensity: Competing against established players (Havells, Crompton). FMEG is currently loss-making; break-even is critical to margin recovery thesis.
- Project RISE execution: Delay in EHV cable capacity ramp-up could defer FY28 EBITDA targets. Working capital build during scale-up may strain near-term free cash flow (FY27E FCF moderates to Rs. 704 Mn).
- Working capital: Cash conversion cycle expected to rise to ~62–64 days in FY26–FY29E from 54 days in FY25. Any deterioration in export receivables could pressure short-term liquidity.

Investment Opinion

We initiate coverage on RR Kabel with a BUY rating and a 12-month target price of Rs. 1,750 (+22% upside), derived from a blended valuation methodology: DCF (60% weight; WACC 11.44%, terminal growth rate 7.50%) yields Rs. 1,805 per share; EV/Sales (20% weight; 2.10x FY26E) yields Rs. 1,489 per share; and Price-to-Book (20% weight; 7.54x FY26E) yields Rs. 1,638 per share. The company carries a net cash position of Rs. 2,220 Mn, with current enterprise value of Rs. 160,053 Mn.

RR Kabel offers a compelling risk-reward profile as a structural beneficiary of India's infrastructure, renewable energy, and housing investment cycle. Project RISE provides a defined catalyst for capacity-led revenue re-acceleration and margin expansion through a superior product mix. A pristine balance sheet (net cash, D/E 0.10x in FY25), growing export franchise (74 countries, ~26–28% of W&C revenues), and a projected PAT CAGR of 34% over FY26–FY29E underpin earnings visibility. At 22.1x FY29E P/E and 15.5x EV/EBITDA on our estimates, current valuations remain undemanding relative to the earnings growth trajectory. We view the stock as attractively positioned for medium-term outperformance.